

Chapter Review

Key Concepts

budget constraint (the limit on the consumption bundles that a consumer can afford)

indifference curve (a curve that shows consumption bundles that give the consumer the same level of satisfaction)

marginal rate of substitution (the rate at which a consumer is willing to trade one good for another)

perfect substitutes (two goods with straight-line indifference curves)

perfect complements (two goods with right-angle indifference curves)

normal good

inferior good (a good for which an increase in income reduces the quantity demanded)

income effect (the change in consumption that results when a price change moves the consumer to a higher or lower indifference curve)

substitution effect (the change in consumption that results when a price change moves the consumer along a given indifference curve to a point with a new marginal rate of substitution)

Giffen good (a good for which an increase in the price raises the quantity demanded)